

assistant professor, was generously credited by Graham as coauthor, in fact he was Graham's assistant; Graham wrote the text and Dodd checked facts, offered suggestions, and so forth.) It was an extraordinary time to write an investment manual. A third of American industry was selling at less than its liquidation value. Many so-called experts discounted the notion of investing in stocks at all—any stock purchase, they asserted, was sheer speculation. Yet Graham had the courage to recognize a buying opportunity. Hard-won wisdom had honed his belief that the market trend was a fickle barometer. The stock market is not a “*weighing machine*,” he wrote; it was “*a voting machine*” in which countless individuals registered choices produced “partly of reason and partly of emotion.” *Security Analysis* was written to help investors appraise a security's enduring value and divorce themselves from momentary passions. It breathes with the wisdom of the author's classical training. Graham turned to Horace, the Roman poet, for his epigraph: “Many shall be restored that now are fallen and many shall fall that are now in favor.” The metaphor was almost too good; underlying values could not be judged on the basis of their price, for prices were as fleeting as the fates. “That enormous profits should have turned into still more colossal losses . . . that unlimited optimism should have been succeeded by the deepest despair,” no longer struck Graham as surprising.<sup>3</sup> The serious investor, therefore, had to trust in the long-term values reflected not by the stock price or predictions about the price, but by the intrinsic corporate worth, to be discerned from the balance sheet, earnings reports, and other sources.

This insight is no less true today than it was in 1934, yet the majority of investors approach the market with little trace of the enlightenment that prior experience might have taught. The list of investment fads and bubbles in the late twentieth and early twenty-

---

<sup>3</sup> Benjamin Graham and David Dodd, “Introduction,” in *Security Analysis* (New York, NY: McGraw-Hill, 1934), p. 3.